

THE EVER-PRESENT FEES

One of the biggest criticisms that the mutual fund industry battles is that of their fees. It is often expressed as a percentage of the assets of the fund and goes toward managing the fund, covering expenses such as trade fees, admin, custodian, legal/audit, accounting, and even salaries of the managers and analysts. These fees are often referred to as Management Expense Ratios (MERs). Not all funds carry the same fees either.

Please note that all reported or advertised performance figures of a mutual fund are always net of fees. What you see reported is what you get. So even if a fund carries a higher fee, if it outperforms other funds in its peer group, it still warrants consideration.

LOAD VS. NO LOAD

In addition to the MERs which are ever-present and unavoidable, you may find yourself weighing load and no-load options.

A loaded fund is one which carries an additional charge to invest in the fund, usually because you are receiving advice from a salesperson or financial planner. A front-end

load entails an up-front fee for investing in the fund, and a back-end load (also known as a deferred sales charge) would charge the fee upon redemption. Both fees are often expressed as a percentage of the money invested. Some back-end fees operate on sliding scales, such that if you leave the money in the same fund or family of funds for a certain period of time (usually five to seven years), the fees decline to nothing. Thus, if you plan to invest for the long haul, these back-end loads are often the most appealing.

And although the term *no load* obviously means there is no additional charge, they can sometimes charge a higher MER than their loaded sister funds, thereby reducing your effective returns.



INDEX FUNDS

An index fund operates very much like a mutual fund, except it is not actively managed. The performance of the fund is linked to the performance of a market index, such as the S&P 500. Thus, the fees are often considerably lower than other mutual funds, since you as the shareholder aren't relying on the fund manager's expertise to pick the right investments.